

LIVE

ENGLISH

COMPREHENSION & VOCABULARY

UPSC / BANK PO / SSC / OTHERS

SESSION - 1

9th January, 2017 @ 12.00 noon

WHY ENGLISH COMPREHENSION ?

- To understand / to know the approach to understand English passages / articles
- To understand newspapers clearly
- To improve vocabulary / word power
- To answer questions with minimum words with better clarity
- To get more marks in exams like Bank PO / SSC etc.

THIS WILL BENEFIT...

**UPSC MAINS / BANK PO / SSC / OTHERS
WHERE COMPREHENSION / VOCABULARY IS INVOLVED**

BusinessLine

THURSDAY, JANUARY 5, 2017

More pain ahead

With corporate debt rising in some stressed sectors and growth slackening, asset quality issues for banks threaten to get worse

The latest Financial Stability Report from the Reserve Bank of India has once again brought to light the festering issue of asset quality of Indian banks. Between September 2015 and September 2016, gross non-performing assets shot up from 5.1 per cent to 9.1 per cent of total advances. The huge addition to the stockpile of bad loans, though alarming, is not entirely inexplicable: the RBI's asset quality review in December 2015 led to a spike in bad loans in the ensuing two quarters, thanks to tougher reporting standards. But the continuous deterioration of asset quality over the last two quarters, despite the massive clean-up activity, is worrying. Between March and September 2016, gross NPAs went up from 7.8 per cent to 9.1 per cent of total advances. While public sector banks continue to record steep losses, a few large private banks such as ICICI Bank and Axis Bank, too, have been weighed down by the sharp rise in bad loans, given their relatively higher exposure to troubled sectors such as power, and iron and steel.

This brings us to the issue of corporate leverage in India. The data put out in the FSR, of over 2,000 listed companies, shows that the debt to equity ra-

BusinessLine

5th January 2017



DISCUSSION ON

9th Jan (today)



DISCUSSION ON

10th Jan (tomorrow)

When Growth Turns Anaemic

Stepped-up public investment is the key

When the Central Statistics Office (CSO) says that the rate of growth for the current financial year is likely to dip to 7.1% from the 7.6% registered last fiscal, even without taking into account the impact of demonetisation that commenced one month into the third quarter (October-December), it means two things: growth is likely to dip below 7%, and do not blame just demonetisation for it. In each of the current fiscal's first two quarters, the growth rate turned out to be lower than the growth rate in the corresponding quarter of the previous year.

Part of the blame might be purely statistical. The global dip in commodity prices had flattened the wholesale price index last fiscal, even as the consumer price index remained buoyant. Some argued that the use of different price indices to deflate input and output prices resulted in artificial exaggeration of the value added and, thus, of the growth rate. The two indices are better aligned this fiscal, squeezing out the statistical element in the growth rate. But it does not guarantee that there would be no surreal element in the growth rate this fiscal either. Demonetisation persuaded many unlisted companies to bring their concealed incomes onto their books, resulting in boosted sales and profits, also explaining, in part, the boost in tax collections



in November. The CSO uses financial reporting of companies to estimate value added, for a first approximation. This would lead it to register robust growth in Q3 this fiscal. But the lingering effect of demonetisation in the January-March quarter is unlikely to be offset by financial juggling, concealed incomes already having been reported in the third quarter. That is likely to leave the combined growth of Q3 and Q4 to be sufficiently below 7% to drag the overall growth for the year below 7%.

Gross fixed capital formation as a proportion of GDP has sunk to 26.6% — lower than in any year after 2004-05. The key to revival of growth is clearing up bank books, enabling them to lend, and stepping up public investment in the meantime. This is so, regardless of the effects of demonetisation.

THE ECONOMIC TIMES

9th January 2017



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MORE PAIN AHEAD

Editorial

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5th January 2017

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- This brings us to the issue of corporate leverage in India. The data put out in the FSR, of over 2,000 listed companies, shows that the debt to equity ratio has gone down marginally, from 0.38 in the second half of fiscal 2016 to 0.32 in the first half of this fiscal. While the reduction in overall leverage is heartening, what continues to ail the banking sector is the fact that a large share of corporate debt in India is still concentrated in a few highly leveraged companies. The FSR indicates that in sectors such as iron and steel, power, and mining, where stressed assets remain elevated, debt has gone up and so has the interest burden. The asset quality of large borrowers has weakened significantly, too, with their share of total NPAs constituting over 85 per cent, posing a systemic risk.
- To be fair, large corporates have been paying off debt by selling assets. This, along with the steep cuts in lending rates, should lighten the interest burden of companies, and reduce delinquencies for banks. But such deleveraging and cutting back on investments will also weigh on growth. With the impact of demonetisation on growth still unclear, the situation can only worsen in the near term. While the RBI's restructuring norms have offered some respite, the key lies in reviving the investment cycle. The Centre will have to roll up its sleeves and ensure that the capital locked up in projects in some of these troubled sectors starts paying dividends. The slow repair of banks' balance sheets and a conscious effort to pare exposures to troubled sectors, is now under way. While, this is not necessarily a bad thing, it has left large infrastructure projects starved for funds. Creating some wiggle room in the fisc to up its capital spending may be something the Centre will have to consider if growth engines in these troubled sectors are to be revived.

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With corporate debt rising in some stressed sectors and *growth slackening*, asset quality issues for banks threaten to get worse

The latest Financial Stability Report from the Reserve Bank of India has once again brought to light the *fester*ing issue of asset quality of Indian banks. Between September 2015 and September 2016, gross non-performing assets *shot up* from 5.1 per cent to 9.1 per cent of total advances.

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The huge addition to the **stockpile** of bad loans, though **alarming**, is not entirely **inexplicable**: the RBI's asset quality review in December 2015 led to a **spike** in bad loans in the ensuing two quarters, **thanks to** tougher reporting standards.

5th Jan 2017

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But the continuous **deterioration** of asset quality over the last two quarters, **despite** the massive clean-up activity, is worrying. Between March and September 2016, gross NPAs went up from 7.8 per cent to 9.1 per cent of total advances. While public sector banks continue to record **steep losses**, a few large private banks such as ICICI Bank and Axis Bank, too, have been **weighed down** by the sharp rise in bad loans, given their relatively higher **exposure** to troubled sectors such as power, and iron and steel.

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DISCUSSION ON 10th Jan (tomorrow)

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9th January 2017